

Global Equity Strategy - Worksheet

Investment Horizon

- December 2026 (1 Year)
- December 2030 (5 Years)

I. Global Equity

Rank the countries based on expected investment horizon return

Expected: Base – Bull Case Return	1 Year	5 Years
Americas		
US: S&P500	1	3
Mexico: IPC	7	5
Brazil: IBOVESPA	8	4
Europe		
UK: FTSE (Links to an external site.)	4	6
Germany: DAX	5	7
May include other countries		
Asia		
China: SSE Index	3	2
Hong Kong: Hang Seng	6	8
India: BSE SENSEX	2	1
May include other countries		

Justification

One-Year Horizon (Dec 2026)

The US (S&P500) is expected to rank 1st amongst the global equities at the back of very strong earnings report, especially from major Tech/AI/Cloud stocks that are composites of the index and are driving growth with support from the easing in the economy as the Feds announced a 25-bps rate cut. The India (BSE Sensex) is ranked after the S&P500, supported by strong EPS expansions. The Chinese SSE also outperforms 5 of the global indices per our ranking in the short-term based on the great government support through improved policies and gains from the technology sector and foreign inflows. The FTSE's offer of value from other sectors such as Energy and Banks placing it after the Chinese SSE, followed by the Germany DAX supported by manufacturing upcycling prospects, although faced with export constraints. The Hong Kong Hang Seng ranks above the IPC and IBOVESPA, based on the links with volatility in China while the moderate growth trajectory of the IPC and IBOVESPA place them bottom of our rankings.

Five -Year Horizon (Dec 2030)

With India as the world's top candidate for structural economic growth amid policy reforms and EPS expansion, we expect the Sensex to outperform the other global equities in the long-term horizon. China is also expected to outperform based on its drive for long-term innovation and deep valuation. The US S&P500 is expected to grow moderately due to its anticipated slow EPS growth, hence the drop in rank for the long-term horizon. Brazil and Mexico in the long-term have the potential to perform well at the back of favorable economic cycles and commodity pricing. The European market (FTSE & DAX) in the long-term continues to be value-oriented amid modest growth trajectory while the high volatility of the Hang Seng affects its ranking in the long-term.

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Relative Value Based on P/E Ratios

The global equities were also valued based on their respective P/E ratios to provide a standardized measure to compare the indices by analyzing the price investors are willing to pay for the earnings of the indices.

The US(S&P500) had a P/E ratio of 25.38x as of November 5, 2025, which was way above its 10-year average of approximately 19x indicating a premium pricing which is justified by the high earnings by major tech/Ai companies like Apple, Amazon and Microsoft. This may also be an indication of overvaluation which could mean future returns may be lower than expected. India’s Sensex has a relatively high P/E ratio of 24.51x which is supported by its superior EPS. Brazil, Mexico, UK, and Germany are moderately premium priced as compared to the US and India. China is priced at a discount of 11.0x, providing value opportunities while the Hong Kong HIS’s ratio of 12.88x reflects its political and geopolitical risks.

Country	Current P/E
U.S. (S&P 500)	25.38×
India (Sensex)	24.51×
Brazil (Ibovespa)	10.97×
Mexico (IPC)	14.5×
UK (FTSE)	18.96x
Germany (DAX)	17.52x
China (SSE)	10.99×
Hong Kong (HSI)	12.88×

FactSet Data, (Nov 5, 2025), S&P500 P/E Ratio

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United Kingdom Stock Market: current P/E Ratio

<https://worldperatio.com/area/united-kingdom/>

India Stock Market: current P/E Ratio

<https://worldperatio.com/area/india/>

Brazil Stock Market: current P/E Ratio

<https://worldperatio.com/area/brazil/>

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Germany Stock Market: current P/E Ratio

<https://worldperatio.com/area/germany/>

China Stock Market: current P/E Ratio

<https://worldperatio.com/area/china/>

II. Foreign Exchange

Evaluate the impact of foreign exchange on USD returns: along with key economic factors for each currency over a 1-year (2026) and 5-year (2030) horizon.

Currency	Currency Risk: Appreciation (+) or Depreciation (-)		Justification	
	1 Year (2026)	5 Years (2030)	1 Year (2026)	5 Years (2030)
Euro	+1 % to +2 %	-3 % to -4 %	Expected to appreciate due to the U.S. cutting rates while Europe keeps its steady.	Depreciation due to slow Eurozone growth and strong U.S. tech and investments.
Pound (GBP)	+0.5 %	-2 % to -3 %	Short-term appreciation due to the Bank of England lowering rates.	It is likely to depreciate due to economic stagnation and possible Brexit trade inefficiencies.
Yen	-1 %	+15 % to +20 %	Depreciation is due to lower interest rates compared to USD.	Expected appreciation due to normalizing global rates and gradual tightening by the Bank of Japan narrowing the yield gap with the U.S.
Renminbi	-0.3 %	+5 % to +6 %	Slight depreciation as China keeps its currency competitive to support exports and manufacturing recovery amid slow domestic growth.	Expected appreciation as economic reforms, technology upgrades, and greater capital inflows strengthen fundamentals
INR	-0.2 %	+10 % to +12 %	It is expected to remain stable as the RBI manages volatility, and foreign inflows support the currency.	Likely appreciation due to high GDP growth, rising FDI, and bond index inclusion increasing demand for rupee assets.
BRL	+2 %	+10 %	Slight appreciation due to commodity exports and gradually lower interest rates.	Appreciation is due to consistent trade surpluses and increased foreign investment tied to commodities.
MXN	+1 %	+5 %	Slight appreciation is due to the benefit of nearshoring.	Appreciation is due to heavier nearshoring, and fiscal policy remaining stable.

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International Fischer Effect or Historical Trend Analysis for Possible 5 Year Impact

- Countries with higher interest rates (Brazil, India, Mexico) tend to see currency depreciation long-term as higher nominal yields reflect higher inflation expectations.
- Developed markets with low inflation (Eurozone, Japan) likely see appreciation as global rates converge.
- Historical trend analysis suggests that the U.S. dollar tends to weaken in multi-year cycles once the Federal Reserve ends its rate-hike phase, which supports moderate appreciation in emerging-market currencies over 5 years.
- Emerging growth drivers, such as India's rapid expansion, Brazil's commodity exports, and Mexico's nearshoring boom, are expected to enhance long-term currency values relative to the USD.

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III. Country Allocation

Decide country allocation accounting for global equity and foreign exchange outlook for a USD based investor:

Country Concentration (% of Assets)	1 Year	5 Years
Americas		
US: S&P500	35%	20%
Mexico: IPC	6%	7%
Brazil: IBOVESPA	3%	6%
Europe		
UK: FTSE (Links to an external site.)	6%	8%
Germany: DAX	4%	3%
Asia		
China: SSE Index	8%	18%
Hong Kong: Hang Seng	5%	3%
India: BSE SENSEX	33%	35%
	100%	100%

1. Short-term strategy (1 year):

- The U.S (S&P500) is in the top position at 35%, because of its strong corporate earnings and strong technology sector.
- India (BSE SENSEX) due to its high GDP growth and domestic demand momentum, holds allocation of 33%.
- China (SSE Index) is at 8% because of its economy is stabilizing along with a stable recovery in its manufacturing.
- To provide diversification, exposure and industrial growth, the rest of the allocations are distributed between Mexico, Brazil, the UK, and Germany.

2. Long-term allocation strategy (5 years):

- The US decreases to 20% due to the expected outperformance of markets in the long term.
- India (BSE SENSEX) maintains a strong 35% weight, because of its growth potential and digital expansion in the tech sector.
- China sees a stable growth to 18% because of recovering sector and policy driven growth.
- Europe increased f value opportunities and a strong dividend yield.
- Brazil and Mexico have maintained their weights due to the nearshoring benefits of being near the US market.
- Hong Kong remained small at 3% due to exposure to financial and Chinese-linked sectors.

3. Geographic Diversification:

- The portfolio assets from Americas, Europe, and Asia to ensure no single region or risk dominates the performance
- Developed markets like U.S., UK, and Germany tend to provide provide income and stability, while emerging markets like India, China, Brazil, Mexico provide growth and upside.

4. Risk Management:

- To diversify risk, putting the heavy weights in liquid market like the US and India, will help in managing liquidity and reduce risk.
- To reduce risk of political or foreign exchange shocks, more riskier exposures like Brazil,

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Mexico, Hong Kong are kept at a lower value.

Specify Your Country Concentration (% Of Assets) Strategy Using Benchmark Country Indices as Building Blocks

- **U.S.: S&P 500 Index:** Shows us the global leaders in healthcare and technology sector in large cap US equities.
- **India: BSE Sensex:** Represents the top sectors in India, like the IT, Financials and industrial sectors.
- **China: SSE Composite:** Recovering market with a heavy focus on AI, EV, Semiconductors and green energy.
- **Brazil: IBOVESPA:** Represents an economy tightly linked with global commodity prices.
- **Mexico: IPC:** It benefits from near-shoring as the companies will move manufacturing and growth. Closer to the US market.
- **UK: FTSE 100:** Represents the dividend yield and value exposure.
- **Germany: DAX:** Represents an industrial and export-driven recovering economy as trade strengthens.
- **Hong Kong: Hang Seng:** Represents the financial hub exposure with limited weights due to volatility and policy risk.

Specify Your Country Concentration (% Of Assets) Strategy Using ETFS as Building Blocks (Eg: Spy Tracks S&P500)

- **U.S. (S&P 500):** We will use the SPDR S&P 500 ETF (SPY) to track the S&P 500 Index as it provides diversified exposure to large-cap U.S. equities and remains the portfolio's main source for stability and consistent earnings performance.
- **Mexico (IPC):** The iShares MSCI Mexico ETF (EWW) will be used to gain exposure to Mexico's growing manufacturing and export sectors and benefit from nearshoring and trade links with the U.S.
- **Brazil (IBOVESPA):** The iShares MSCI Brazil ETF (EWZ) which offers access to Brazil's commodity-driven economy would be used as a building block. It captures growth from exports of agricultural and energy products which is supported by the country's steady policy and trade surpluses.
- **UK (FTSE):** The iShares MSCI United Kingdom ETF (EWU) which tracks the FTSE 100, provides exposure to high-dividend, value-oriented companies that stabilize portfolio income would be used as a building block for UK.
- **Germany (DAX):** The iShares MSCI Germany ETF (EWG) which mirrors the DAX Index and provides exposure to Europe's industrial and manufacturing recovery, including autos and green transition industries would be ideal as a building block for Germany.
- **China (SSE Index):** The iShares China Large-Cap ETF (FXI) would serve as the building block given its exposure to major Chinese firms across technology, finance, and industrials.
- **India (BSE SENSEX):** The iShares MSCI India ETF (INDA) would be used to gain access to India's rapid growth in economy, increasing domestic consumption as well as strong inflows of capital and infrastructure development.
- **Hong Kong (Hang Seng):** The iShares MSCI Hong Kong ETF (EWH) which tracks the Hang Seng Index would be used as it limits exposure to volatility and offers regional diversification.

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IV. Sector Allocation

Favored sectors within different countries or overall?

Country/Region	Favoured Sectors	ETF Example	Core Rationale
US	Tech, Healthcare & Consumer Discretionary	Technology select sector SPDR fund (XLK), Healthcare select sector SPDR fund (XLV)	AI/cloud/biotech leadership
India	Financials, Industrials	iShares MSCI India ETF (INDA), ICICI Bank	Credit/manufacturing boom
China	Consumer, EV tech	Krane Shares CSI China ETF (KWEB), Invesco China technology ETF (CQQQ)	Domestic demand, policy support
UK/Europe	Industrials, Energy	iShares Global Industrials ETF (EXI), iShares Core MSCI Europe ETF (IEUR)	Green transition, re-rating
Brazil	Materials, Energy	iShares MSCI Brazil (EWZ)	Commodity cycle tailwinds
Mexico	Real estate, Infrastructure	iShares MSCI Mexico (EWW)	Construction from near-shoring

- Our overall favored sectors are technology, healthcare, consumer, and financials, as they provide a combination of strong growth prospects and resilience against economic constraints and uncertainties.
- We use ETF sectors like SPDR fund (XLK) for technology sector interest and SPDR Fund (XLY) for consumer discretionary to capture global leaders efficiently.
- For niche themes like luxury goods or renewables, stock selection such as LVMH for luxury, Siemens Energy for clean technology is considered.
- For India and Brazil, sector-specific ETFs are limited hence, broad market ETFs such as iShares MSCI India ETF (INDA) and iShares MSCI Brazil (EWZ) were considered for similar exposure.

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V. Review 3 or more top rated Global Mutual Funds

First Fund: Fidelity Global Equity Fund

- **Top Holdings:** Apple, Microsoft, Nestlé, JPMorgan, LVMH.
- **Focus:** U.S. technology and European consumer leaders which supports the overweight in Technology and Consumer sectors.

Second Fund: T. Rowe Price Global Growth Stock Fund

- **Top Holdings:** Amazon, Alphabet, TSMC, Novo Nordisk, ASML.
- **Focus:** Innovation and long-term earnings growth.

Third Fund: MSCI World Select Value Fund (iShares Global 100 ETF proxy)

- **Top Holdings:** Johnson & Johnson, Procter & Gamble, Exxon Mobil, Toyota, Nestlé.
- **Focus:** Defensive mix of staples and energy exposure, supporting value tilt in developed markets.

Our 37 Stocks Global Equities Portfolio

Based on these fund reviews, here's a proposed allocation of 37 stocks across key sectors and regions:

- **Tech (10):** Apple, Microsoft, NVIDIA, Alphabet, Amazon, TSMC, Samsung Electronics, Tata Consultancy, Infosys, and SAP
- **Healthcare (6):** Johnson & Johnson, Eli Lilly, UnitedHealth, Novartis, AstraZeneca, and Pfizer
- **Financials (6):** JPMorgan, Bank of America, HDFC Bank, ICICI Bank, HSBC, and DBS Group
- **Consumer (6):** Walmart, Starbucks, Nestlé, LVMH, Reliance Retail, and Meituan
- **Industrials (4):** Siemens, Caterpillar, Tata Motors, and Honeywell
- **Energy/Materials (3):** Exxon Mobil, Petrobras, and Sinopec
- **Real Estate (2):** Vesta (Mexico), and Simon Property (US)